

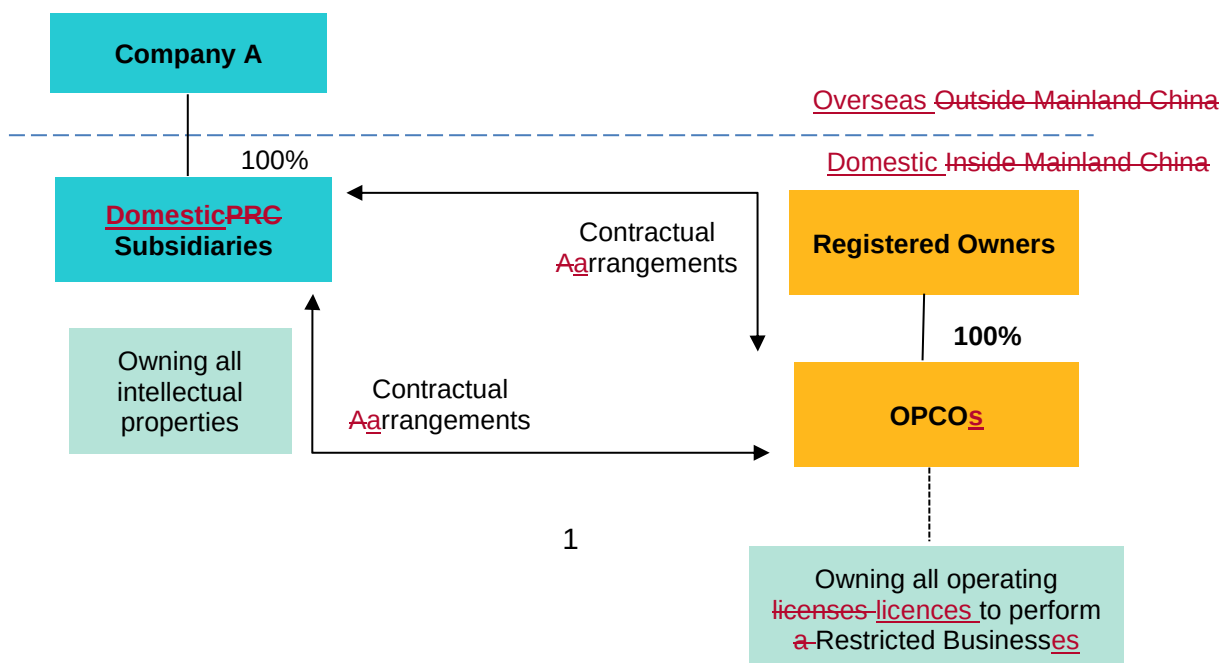
Guidance on listed issuers using contractual arrangements for their businesses

A. Purpose

1. In certain jurisdictions (e.g. Mainland China), the relevant laws and regulations specifically restrict foreign investment in certain businesses (e.g. telecommunications, healthcare and education) (Restricted Businesses). In such circumstance, issuers generally use contractual arrangements to hold interests in, and control over, the Restricted Businesses. This letter provides guidance to listed issuers using contract-based arrangements or structures (Contractual Arrangements, also commonly known as Structured Contracts or VIEs) to indirectly own and control any part of their businesses. Whilst the guidance below specifically refers to Contractual Arrangements involving an operating company incorporated in the PRC, the spirit of this guidance also applies to similar types of Contractual Arrangements used by companies in other jurisdictions to the extent applicable.
2. Contractual Arrangements generally involve a company (Company A) which, through its subsidiaries in Mainland China (PRC Subsidiaries), enters into a number of contracts with an operating company (OPCO) incorporated in the PRC. OPCO is owned by PRC nationals (Registered Owners) and owns all the operating licenses to perform business in an industry sector that is subject to foreign investment restrictions (Restricted Business).
- 3.2. Chapter 4.1 of the Guide for New Listing Applicants (Guide) provides guidance to new listing applicants using Contractual Arrangements for their businesses. This letter follows the guidance in the Guide and is applicable to issuers using Contractual Arrangements in conducting their businesses after listing.

B. Contractual Arrangements

- 4.3. Set out below is the typical structure of the contractual arrangements adopted by a listed issuer (Company A) in conducting Restricted Businesses. A brief diagram illustrating a typical structure of the Contractual Arrangements is set out below:



~~5.4. The Contractual Arrangements typically include contracts that are designed to allow Company A and its subsidiaries (Group) to exercise control over the operations of OPCO and enjoy the economic benefits generated by OPCO. Under the contractual arrangements, the issuer has:~~

- ~~(a) the right to enjoy all the economic benefits of the domestic incorporated operating company(ies) (OPCOs)¹ that are owned by the registered owners (Registered Owners)² and controlled by the issuer through contractual arrangements, to exercise management control over the operations of OPCOs, and to prevent leakage of assets and values to shareholders of OPCOs;~~
- ~~(b) the right to all intellectual properties through assignments from OPCOs;~~
- ~~(c) the right to consolidate the financial results of OPCOs as if they were wholly-owned subsidiaries of the issuer under prevailing accounting principles;~~
- ~~(d) the right to acquire, if and when permitted by the domestic law, the equity interests in and/or assets of OPCOs for a nominal price or a pre-paid amount; and~~
- ~~(e) a first-priority security interest over OPCO shares owned by the Registered Owners, as security for the proper performance of the contractual arrangements.~~

C. Relevant Listing Rules

General principles

~~6.5. MB Rule 2.03 (GEM Rule 2.06) states that:~~

~~*“The Listing Rules reflect currently acceptable standards in the market place and are designed to ensure that investors have and can maintain confidence in the market and in particular that:*~~

~~-~~

~~...~~

- ~~(3) investors and the public are kept fully informed by the listed issuers ... of material factors which might affect their interests;~~

~~...~~

- ~~(5) directors of a listed issuer act in the interests of its shareholders as a whole ... ; and~~

~~...”~~

~~7.6. Section GD.2 of Appendix C1 to the MB Rules (Section GD.2 of Appendix C1 to the GEM Rules) ~~states-provides~~ that: an issuer’s board of directors is responsible for ensuring that the issuer establishes and maintains appropriate and effective risk management and internal control systems.~~

¹ For the purpose of this guidance letter, where the Restricted Businesses are conducted by subsidiaries of OPCO, “OPCO” should be read as “subsidiaries of OPCO” and the contractual arrangements should ensure that the interests and economic benefits of the issuer in the Restricted Businesses held through such subsidiaries are equally safeguarded.

² The Registered Owners are usually the controlling shareholders of the issuer. Where the Registered Owners are not individuals but limited partnerships or corporates, the contractual arrangements should ensure that the interests and economic benefits of the issuer should be equally safeguarded.

~~*“The board should ensure that the issuer maintains sound and effective internal controls to safeguard shareholders’ investment and the issuer’s assets.”*~~

Disclosure requirements for notifiable and/or connected transactions

~~8.7.~~ Under MB Rules 14.58, 14.59, 14.60 and 14A.68 (GEM Rules 19.58, 19.59, 19.60 and 20.66), the announcement for a notifiable transaction and/or connected transaction must contain, among others, the following information:

- “ ■ ...;
- *the reasons for entering into the transactions, the benefits which are expected to accrue to the listed issuer as a result of the transaction and a statement that the director believe that the terms of the transactions are fair and reasonable and in the interests of the shareholders as a whole;*
 - *the general nature of the transaction ...;*
 - *brief details of the asset(s) being acquired or disposed of, including the name of any company or business or the actual assets or properties where relevant and, if the assets include securities, the name and general description of the activities of the company in which the securities are or were held;*
 - ...”

~~9.8.~~ Under MB Rules 14.63 and 14A.69 (GEM Rules 19.63 and 20.67), the circular for a major (or above) transaction and/or a connected transaction must provide clear and adequate explanation of its subject matter and contain all information necessary to allow the shareholders to make a properly informed decision.

~~10.9.~~ MB Rule 14.66(10) and Paragraph 29(1)(b) of Appendix D1B (GEM Rule 19.66(~~1011~~)) and Paragraph 29(1)(b) of Appendix D1B) state that a circular for a major transaction must contain:

“A statement as to the financial and trading prospects of the group for at least the current financial year, together with any material information which may be relevant thereto, including all special trade factors or risks (if any) which are not mentioned elsewhere in the listing document and which are unlikely to be known or anticipated by the general public, and which could materially affect the profits.”

“... reference to the group is to be construed as including any company which will become a subsidiary of the issuer by reason of an acquisition which has been agreed or proposed since the date to which the latest audited accounts of the issuer have been made up.”

Disclosure requirements for annual reports

~~11.10.~~ Paragraph 9 of Appendix D2 to the MB Rules (GEM Rule 18.10) provides that an issuer shall include in its financial statements a statement showing:

- “(1) *the name of every subsidiary, its principal country of operation and its country of incorporation or other establishment, and, in the case of a subsidiary established in the PRC, the kind of legal entity it is registered under the PRC law ...; and*

(2) particulars of the issued share capital and debt securities of every subsidiary.

9.1 ...

9.2 If a listed issuer has an excessive number of subsidiaries, the statement need only include details for subsidiaries which, in the opinion of the directors, materially contribute to the net income of the group or hold a material portion of the assets or liabilities of the group.”

12.11. Paragraph 32 of Appendix D2 to the MB Rules (GEM Rule 18.41) states that:

“A listed issuer shall include in its annual report a ~~separate statement containing a~~ discussion and analysis of the group’s performance during the financial year and the material factors underlying its results and financial position. It should emphasize trends and identify significant events or transactions during the financial year under review.”

13.12. Paragraph 5228(2) of Appendix D2 to the MB Rules (GEM Rule 18.8307A(2)) requires provides that an issuer to include a description of the principal risks and uncertainties facing the issuer under the business review disclosed in the directors’ report for the financial year.
issuers are encouraged to disclose additional commentary on management discussion and analysis in their interim and annual reports:

“
... ..”

~~(v) — a discussion on business risks (including known events, uncertainties and other factors which may substantially affect future performance) and risks management policy;~~
... ..”

D. Guidance

14.13. Under ~~C~~contractual ~~A~~arrangements, the issuer and its subsidiaries do not have direct ownership of OPCO and rely on the ~~S~~structured ~~C~~contracts to control it. In light of the legal issues and potential risks associated with these arrangements, issuers should take necessary actions to ensure the legality and validity of the ~~S~~structured ~~C~~contracts and disclose all material and relevant information about the arrangements.

15.14. The guidance set out below is not exhaustive. Issuers should assess their own situation to decide whether additional actions or disclosures are appropriate to ensure compliance with the Listing Rules.

Factors to consider when adopting ~~C~~contractual ~~A~~arrangements

16.15. When an issuer proposes to acquire or establish a business using ~~C~~contractual ~~A~~arrangements which constitutes a notifiable and/or connected transaction, it is expected to observe the following:

(a) In general, where the relevant laws and regulations specifically restrict foreign investment (e.g. the Foreign Investment Law of the People’s Republic of China) or disallow foreign investors from using any agreements or contractual arrangements to gain control of or

operate the Restricted Business, the issuer should demonstrate that it is able to comply with the relevant laws and regulations.

~~(a)(b)~~ The ~~C~~contractual ~~A~~arrangements should be narrowly tailored to achieve the issuer's business purpose and minimise the potential for conflict with relevant laws and regulations:

(i) "Narrowly tailored" means that Ccontractual Aarrangements may only be used to the extent necessary to address any limits on foreign ownership and the issuer should directly hold the maximum permitted interest in the OPCO. For the avoidance of doubt, even if the issuer is able to control OPCO through the direct equity interest held by it in OPCO (e.g. by holding a direct equity interest of more than 50%), the remaining equity interest that is not permitted to be directly held by it may still be held through Ccontractual Aarrangements.

(ii) Generally, where there is no foreign ownership restriction, an issuer must not use contractual arrangements for conducting its businesses unless there are exceptional circumstances. For instance, an issuer may use contractual arrangements if its non-Restricted Businesses are inseparable from the Restricted Businesses, and/or are immaterial in terms of revenue, profit or otherwise.

~~(b)(c)~~ A legal opinion must be provided in respect of the issuer's compliance with applicable laws and regulations and the articles of association of the domestic subsidiaries for the use of contractual arrangements.

The issuer should seek legal advice and decide what measures to adopt (if any) to fully comply with the relevant laws and regulations. The legal opinion on the contractual arrangements must include a positive confirmation that the use of the contractual arrangements does not constitute a breach of those laws and regulations or that the contractual arrangements will not be deemed invalid or ineffective under those laws and regulations. The legal opinion must be supported by appropriate regulatory assurance, where possible, to demonstrate the legality of the contractual arrangements.

Where OPCO's operations are in Mainland China, there should be a positive confirmation from the issuer's PRC legal adviser that the contractual arrangements would not be deemed as "concealing illegal intentions with a lawful form" and void under the PRC contract law.

~~(c)(d)~~ If ~~the~~ OPCO, as a result of having foreign ownership, is required to obtain regulatory approval and fulfill additional eligibility standards (**Other Requirements**), the issuer must (i) fulfil thesuch Other Requirements; and, The issuer must seek and (ii) obtain thesuch regulatory approval to directly hold the maximum permitted interest in the OPCO prior to acquiring or establishing a business using Ccontractual Aarrangements. However, if the relevant regulatory authority confirms that, notwithstanding having fulfilled the Other Requirements, it will not or cannot give the regulatory approval (even if the issuer fulfilled the Other Requirements) because there are no available procedures or guidance for granting approval or for policy reasons, the issuer can directly hold less than the maximum permitted interest in OPCO, provided that it demonstrates to the satisfaction of the Exchange that it has:

(i) it has, as advised by its legal adviser, reasonably assessed the requirements under all applicable rules, with the support of its legal advisers, and has committed

financial and other resources; and

- (ii) implemented all the legal adviser's recommendations prior to acquiring or establishing a business using ~~C~~contractual ~~A~~arrangements. A mere intent, undertaking or plan to implement such recommendations is not sufficient.

~~Where the relevant laws and regulations specifically restrict foreign investment (e.g. the PRC Foreign Investment Law) or disallow foreign investors from using any agreements or Contractual Arrangements to gain control of or operate a foreign restricted business, the issuer should demonstrate that it is able to comply with the relevant laws and regulations. It should seek legal advice and decide what measures to adopt (if any) to fully comply with the relevant laws and regulations. The legal opinion on the Contractual Arrangements must also include a positive confirmation that the use of the Contractual Arrangements does not constitute a breach of those laws and regulations or that the Contractual Arrangements will not be deemed invalid or ineffective under those laws and regulations. The legal opinion must be supported by appropriate regulatory assurance, where possible, to demonstrate the legality of the Contractual Arrangements.~~

~~(d)~~(e) The issuer should ensure that the ~~C~~contractual ~~A~~arrangements:

- include a power of attorney by which OPCO's Registered Owners grant to the issuer's directors and their successors (including a liquidator replacing the issuer's directors) the power to exercise all rights of OPCO's Registered Owners, including the rights to vote in a shareholders' meeting, sign minutes, and file documents with the relevant companies registry. OPCO's Registered Owners should ensure that the power of attorney does not give rise to any potential conflicts of interest. Where OPCO's Registered Owners are officers or directors of the issuer, the power of attorney should be granted in favour of the issuer and actions in relation to the ~~C~~contractual ~~A~~arrangements must be decided by officers or directors of the issuer who are not shareholders of OPCO;
- contain dispute resolution clauses that:
 - provide for arbitration and that arbitrators may award remedies over the shares or land assets of OPCO, injunctive relief (e.g. for the conduct of business or to compel the transfer of assets) or order the winding up of OPCO;
 - provide the courts of competent jurisdictions with the power to grant interim remedies in support of the arbitration pending formation of the arbitral tribunal or in appropriate cases. The courts of Hong Kong, the issuer's place of incorporation, OPCO's place of incorporation, and the place where the issuer or OPCO's principal assets are located should be specified as having jurisdiction for this purpose; and
- encompass dealing with OPCO's assets, and not only the right to manage its business and the right to revenue. This is to ensure that the liquidator, acting on the ~~C~~contractual ~~A~~arrangements, can seize OPCO's assets in a winding up situation for the benefit of the issuer's shareholders or creditors.

~~(e)~~(f) Where the financial results of OPCO are to be accounted for and consolidated in the

issuer's consolidated accounts as if it were a subsidiary of the ~~Group~~ issuer, the issuer should discuss with its auditors or reporting accountants to confirm that it has the right to do so under the prevailing accounting principles.

~~(f)(g)~~ It should put in place effective internal controls over the ~~PRC~~ domestic ~~S~~ subsidiaries and OPCO to safeguard its assets held through the ~~C~~ contractual ~~A~~ arrangements.

~~(g)(h)~~ It should terminate the ~~C~~ contractual ~~A~~ arrangements as soon as the law allows the business to be operated without them. It should ensure that OPCO's Registered Owners (and their successors) have undertaken to it that, subject to the relevant laws and regulations, they must return to the issuer any consideration they receive in the event that the issuer acquires OPCO's shares when terminating the ~~C~~ contractual ~~A~~ arrangements.

~~17.16.~~ The issuer should make disclosure if there is any deviation from the above guidance. The Exchange will consider the circumstances of the case and where necessary for the protection of shareholders, require the issuer to take all necessary actions. In the case of a major or very substantial acquisition, the issuer will need to resolve all of the Exchange's concerns before it can proceed with the transaction³.

Disclosure in announcements and circulars

~~18.17.~~ The announcement and circular (if required) must contain sufficient details of the arrangements to enable shareholders to make an informed assessment of the transaction. These may include:

Details of the transaction and the assets being acquired

~~(a)~~ a brief description of the relevant laws and regulations governing foreign investment restrictions and prohibitions, how the contractual arrangements are "narrowly-tailored" and other matters described in paragraph 15 above;

~~(b)~~ the reasons for the use of the ~~C~~ contractual ~~A~~ arrangements in its business operation, and the matters described in paragraph 16 above. If contractual arrangements are used due to reasons other than addressing foreign investment restrictions under paragraph 15(b) above, the justification thereof should be included (e.g. details of the non-Restricted Businesses, how they are inseparable from the Restricted Businesses, and their materiality in terms of revenue, profit or otherwise);

~~(a)(c)~~ the basis on which the terms of the contractual arrangements (including related restrictions and undertakings) can provide the issuer with control over all of OPCOs that are regarded as subsidiaries;

~~(d)~~ the basis why the directors believe that each of the agreements conferring significant control and economic benefits from OPCO to the issuer is enforceable under the relevant laws and regulations;

~~(b)(e)~~ details of OPCO's Registered Owners and a confirmation that appropriate arrangements have been made to protect the issuer's interests in the event of death, bankruptcy or divorce of OPCO's Registered Owners to avoid any practical difficulties in enforcing ~~C~~ contractual ~~A~~ arrangements;

³ Under the Listing Rules, the issuer must submit the draft circular of the transaction (and in the case of a very substantial acquisition, the draft announcement) to the Exchange for review before the document is issued.

~~bases why the directors believe that each of the agreements conferring significant control and economic benefits from OPCO to the issuer is enforceable under the relevant laws and regulations;~~

~~(e)(f)~~ the extent to which the issuer has arrangements in place to address the potential conflicts of interest between the issuer and OPCO's Registered Owners, particularly in cases where these shareholders are officers and directors of the issuer;

~~(d)(g)~~ corporate structure table for the purpose of illustrating the ~~E~~contractual ~~A~~arrangements and facilitating investors' review and understanding of the arrangements;

Financial information

~~(e)(h)~~ a separate disclosure of revenue from the businesses under the ~~E~~contractual ~~A~~arrangements if the target being acquired generates revenue from other subsidiaries apart from OPCO;

Other disclosures

~~(f)(i)~~ the economic risks the issuer bears as the primary beneficiary of OPCO, in what way the issuer shares the losses of OPCO, the circumstances that could require the issuer to provide financial support to OPCO, or other events or circumstances that could expose the issuer to losses;

~~(g)(j)~~ a discussion on whether the target being acquired has, to date, encountered any interference or encumbrance from any governing bodies in operating its business through OPCO under the ~~E~~contractual ~~A~~arrangements;

~~(h)(k)~~ the limitations in exercising the option to acquire ownership in OPCO, include a separate risk factor explaining these limitations, and clarifying that ownership transfer may still subject to substantial costs;

~~(i)(l)~~ other risks regarding the nature of the ~~E~~contractual ~~A~~arrangements, including that (i) the government may determine that the contracts do not comply with applicable regulations; (ii) the ~~contractual arrangements~~contracts may not provide control as effective as direct ownership; (iii) OPCO's Registered Owners may have potential conflicts of interest with the issuer; and (iv) the ~~contractual arrangements~~contracts may be subject to scrutiny of the tax authorities and additional tax may be imposed; and

~~(j)(m)~~ details of any insurance purchased to cover the risks relating to ~~E~~contractual ~~A~~arrangements, or a prominent disclosure that those risks are not covered by any insurance.

~~19.18.~~ The issuer is recommended to publish the ~~E~~contractual ~~A~~arrangements on its website to promote transparency.

Disclosure in annual reports

~~20.19.~~ An issuer is expected to keep shareholders informed of its business operations through ~~E~~contractual ~~A~~arrangements (whether by way of an acquisition or a greenfield project) subsisting during or at the end of the financial period in its annual reports where these operations are in aggregate material (see also Paragraph 9 of Appendix D2 to the MB Rules (GEM Rule 18.10)). These should include:

- (a) particulars of OPCO and its Registered Owners, and a summary of the major terms of the ~~G~~contractual ~~A~~arrangements;
- (b) a description of OPCO's business activities and their significance to the ~~issuer G~~group;
- (c) appropriate quantitative information including revenue and assets subject to the ~~G~~contractual ~~A~~arrangements;
- (d) the extent to which the ~~G~~contractual ~~A~~arrangements relate to requirements other than the foreign ~~ownership-investment~~ restriction;
- (e) the reasons for using the ~~G~~contractual ~~A~~arrangements, the risks associated with the arrangements and the actions taken by the issuer to mitigate the risks;
- (f) any material change in the ~~G~~contractual ~~A~~arrangements and/or the circumstances under which they were adopted, and its impact on the issuer group; and
- (g) any termination of the ~~G~~contractual ~~A~~arrangements or failure to terminate when the restrictions that led to the adoption of the ~~G~~contractual ~~A~~arrangements are removed.

Continuing connected transactions

~~21-20.~~ If OPCO and/or any of its Registered Owners is, or will become, a connected person of the issuer, the issuer should ensure compliance with Main Board Chapter 14A (GEM Chapter 20) for any continuing transactions with such person contemplated under the ~~G~~contractual ~~A~~arrangements unless they are exempt under the Listing Rules.

On-going developments

~~22-21.~~ Listed issuers with ~~G~~contractual ~~A~~arrangements must continue to monitor future changes in the relevant laws and regulations and ensure compliance.

Important note:

This letter does not override the Listing Rules and is not a substitute for advice from qualified professional advisers. If there is any conflict or inconsistency between this letter and the Listing Rules, the Listing Rules prevail. You may consult the Listing Division on a confidential basis for an interpretation of the Listing Rules, or this letter.